

Topic 1

The Accounting System

1. Financial Accounting Reports

- Periodic financial statements and disclosures
- Strict rules (IFRS / GAAP), Audited, Public
- External Decision Makers: Evaluate the company.
 - Investors
 - Creditors
 - Suppliers
 - Regulators
- Financial Accounting is the recording, summarising and reporting of a company's transactions so people OUTSIDE it can assess its performance and position.

2. Managerial Accounting Reports

- Detailed plans, budgets, performance reports
- Any useful format, continuous, internal only
- Internal Decision Makers: Run the company.
 - Managers
 - Executives

3. Statement of Changes in Equity

- How the owners section moved during the period
- Beginning + Net Income – Dividends = Ending
- Share Issues, Net Income, Dividends

4. Cash Flow Statement

- Cash in and out DURING the period.
- Operating + Investing + Financing = Change in Cash**
- Collections from Customers, Equipment Bought, Loans Raised

Who Reads the Statements?

- Shareholders/Investors
 - Buy, Hold or Sell?
- Creditors (Banks)
 - Lend or not?
- Suppliers/Customers
 - Is the company stable enough to deal with?
- Management
 - Review Performance and Strategy
- Regulators/Tax Authorities
 - Adhere to Law?
- Analysts/Media
 - Interpret Performance

The Four Basic Financial Statements

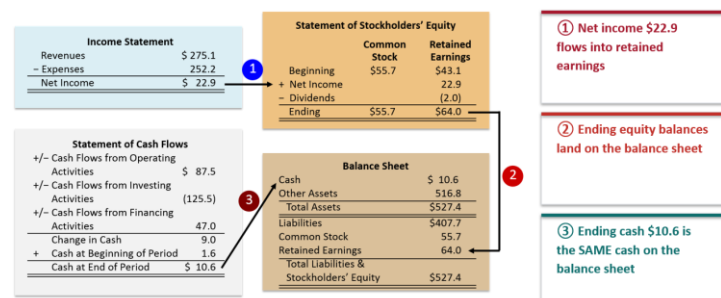
1. Balance Sheet

- Financial position AT A POINT IN TIME
- Assets = Liabilities + Equity**
- Cash, Receivables, Equipment, Debt, Share Capital

2. Income Statement

- Performance DURING the period
- Revenues – Expenses = Net Income**
- Sales, COGS, Interest Expense

How the Four Statements Connect



The One Habit to Build: Professional Scepticism

1. Ask WHY
 - a. Why did this number move? Why this method?
 - b. Statement = Set of answer; your job is to find the questions.
2. Question the numbers
 - a. Who prepared this figure and who benefits from it?
 - b. Check it against cash, last year and notes.
3. Question the assumptions
 - a. Every statement rest on guesses about the future so find them.
4. Question the judgements
 - a. Wherever the rules leave a choice, someone chose.

Key Accounting Terms

1. Asset (OWN)
 - a. A resource the company owns from a past transaction, expected to bring FUTURE BENEFIT.
 - b. Cash, Inventory, Buildings, Equipment, Receivables
2. Liability (OWE)
 - a. A present obligation from a past transaction that will require giving up resources in the future.
 - b. Bank Loans, Payables, Salaries Owed, Taxes Due
3. Equity (OWNERS PIECE OF THE PIE)
 - a. What remains of the assets after all liabilities are settled
 - b. Share Capital Paid
4. Revenue (EARN)
 - a. What the company earns by delivering goods/services during a period.
 - b. Sales, Fees, Rent Earned

5. Expense (COSTS)

- a. The resources used up or obligations incurred to earn that revenue during the period
- b. COGS, Salaries, Rent, Utilities

6. Dividend

- a. Distribution of profit to the owners. NOT an expense as it doesn't help earn revenue.

Key Accounting Assumptions

1. Economic Entity

- a. The business is separate from its owner.
- b. Only business transactions enter the book

2. Monetary Unit

- a. Everything is recorded in one currency.

3. Periodicity

- a. Business life is chopped into reporting periods.
- b. Quarters, Halves, Years.

4. Going Concern

- a. Valuing a factory at cost makes sense only if it keeps producing.
- b. If it's closing, then what matters is the liquidation value.

5. Accrual

- a. Record revenues when EARNED and expenses when INCURRED.
- b. Not when the cash moves.

Why Do We Need Common Rules?

1. To ensure statement become comparable.
2. Allow people who have never met the management can still rely on the numbers.

Two Rulebooks

1. IFRS
 - a. Most used around the world.
2. US GAAP
 - a. Used by American companies.

Who Makes Sure Companies Follow the Rules?

1. Regulators
 - a. Require public companies to publish their statements, filings and punish fraud.
 - b. Malaysia: SC and Bursa
2. Auditors
 - a. Independent firms (Big 4) check whether they followed the rules and if the numbers are real.
3. Audit Oversight
 - a. The auditors are inspected by the Audit Oversight Board in Malaysia.

Internal Controls

1. Segregation of Duties
 - a. The person who approves the payment is not the one who records it.
2. Approval Limits
 - a. Big amounts need senior sign-off
3. Reconciliations
 - a. Book balances checked against bank and supplier records
4. Access Rights
 - a. Staff can only touch system their job requires
5. Physical Counts
 - a. Inventory and assets counted against the records

Topic 2

The Balance Sheet is a Snapshot

1. It shows the company's financial position on a specific day.
2. It's also known as the Statement of Financial Position
3. It answers three questions:
 - a. Assets
 - i. What does the company have?
 - b. Liabilities
 - i. What does the company owe?
 - c. Equity
 - i. What belongs to the owners?

The Accounting Identity

1. Asset = Liabilities + Equity

- a. Left Side
 - i. Shows where the money went
- b. Right Side
 - i. Shows where the money came from
- c. Both sides describe the same money so they must be equal.

Three Transactions

1 - Buy equipment for \$100k Equipment +100k Cash -40k Loan +60k ✓ Assets up 60k net. Liabilities up 60k. Balanced.	2 - Owner invests \$50k Cash +50k Share capital +50k ✓ Assets up 50k. Equity up 50k. Balanced.	3 - Buy inventory on credit, \$30k Inventory +30k Payables +30k ✓ Assets up 30k. Liabilities up 30k. Balanced.
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Current vs Non-Current

1. Both sides of the balance sheet are split by one question: **is it within 12 months?**
 - a. Current (Within a year)
 - i. Assets
 - ii. Liabilities
 - b. Non-Current (Beyond a year)
 - i. Long Term Assets
 - ii. Long Term Liabilities
2. Why this matters?
 - a. A company survives the short run **ONLY** if what turns to cash this year can cover what is due.
3. **Current Assets – Current Liabilities = Net Working Capital**
 - a. Positive WC: Enough liquid to cover short term liabilities
 - b. Negative WC: May struggle to pay short term liabilities.

Balance Sheet is Ordered by Liquidity

1. Assets are listed by how quickly they turn into cash. (Liquidity)
 - a. Cash (Already money)
 - b. Marketable Securities (Investments that can sell ASAP)
 - c. Accounts Receivable (Money customers owe)
 - d. Inventory (Must be sold)
 - e. Property/Equipment (Not for sale)

Why Does the Balance Sheet Matter?

1. Tells you how strong/fragile a company is.
2. Helps stakeholders assess risk.
3. Makes analysis possible.

What Different Readers Do?

1. Investor
 - a. How is the company financed and where is the value?
2. Lender
 - a. Does the company have the ability to pay me back?
3. Manager
 - a. What can we afford to do next?

Three Limitations of the Balance Sheet

1. Book value is not market value.
 - a. Historical cost means the numbers can sit far from today's reality (Either direction)
2. Intangible assets count only when they are bought.
 - a. Self-Built: No Verifiable Price
 - b. Bought: At Purchase Price
3. Some obligations sit in the notes.
 - a. Purchase commitments, guarantees and lawsuits sit in the notes, not balance sheet.

Assets Are Recorded at Cost

1. The Historical Cost Principle
 - a. Most assets stay on the books at their original purchase price, not their current value.
 - b. A plot of land bought for \$1m, will still be recorded at \$1m even if its price is worth \$3m now.
2. Why do accounts follow this?
 - a. Cost is a **FACT** with an invoice to verify.
 - b. Current value is an **OPINION** that can change.
 - c. Hence, pick the numbers you can trust.

Topic 3

The Income Statement

1. Shows the company's performance over a period (Month, Quarter, Year)
2. Reports the revenues earned, expenses incurred and P&L that remains.

Key Components of Income Statement

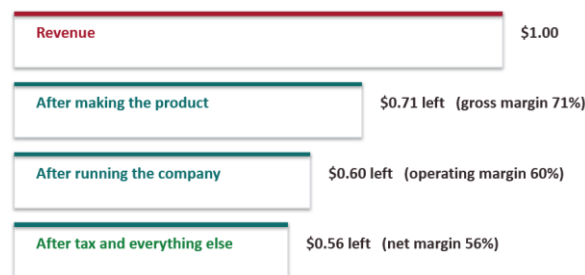
1. Revenue
 - a. Everything earned from delivering goods/services
2. COGS
 - a. Cost of making things that were sold.
3. Operating Expenses
 - a. Cost of running the company
4. Non-Operating Items
 - a. Interest earned/paid
5. Income Tax
 - a. The governments share of the profit
6. Net Income
 - a. What remains for the owners.

Profit Levels

1. **Revenue – COGS = GROSS PROFIT**
 - a. Is the product profitable?
2. **Gross Profit – Operating Expenses = OPERATING PROFIT (EBIT)**
 - a. Is the business well run?
3. **Operating Profit +/- Non-Operating Items = PRE-TAX PROFIT**
 - a. What did the year produce before tax?
4. **Pre-Tax Profit – Tax = NET PROFIT**
 - a. After everything is paid, what is left?

Margins: How Analysts Compare Profitability

1. Divide every line by revenue and the statement becomes: What happens to one dollar of sales?



What Different Readers Look For

1. Investor
 - a. Is the profit growing and is it high quality?
2. Lender
 - a. Can profit cover the interest?
3. Manager
 - a. Where is the money leaking?

Financial Reporting Principles That Apply

1. Accrual
 - a. Record revenues/expenses when earned/incurred. Not when cash moves.
 - b. For Example:
 - i. 2024: Firm finishes a \$10k project.
 - ii. 2025: Client pays \$10k
 - iii. The \$10k revenue is recorded in 2024 since work was done in 2024.
2. Matching
 - a. Expenses go in the same period as the revenue they helped create
 - b. For Example:
 - i. A seller sells goods for \$50k in March but the COGS \$30k.
 - ii. Hence, March shows true profit of \$20k

3. Revenue Recognition

- a. Revenue is recorded as the goods/services are delivered.
- b. For Example:
 - i. A company sells a 12-month subscription plan for \$1.2k paid upfront.
 - ii. It records \$100 of revenue each month and not just \$1.2k in January as the service is delivered month by month.

4. Consistency

- a. Keeps the same accounting methods, so years can be compared.

4. Assets

- a. Increases Debit
- b. Decrease Credit

5. Liabilities

- a. Increases CREDIT
- b. Decreases DEBIT

6. Equity

- a. Increases CREDIT
- b. Decreases DEBIT

7. Revenue

- a. Increases CREDIT
- b. Decreases DEBIT

Double-Entry: Every Transaction Has Two Sides

1. Buy a \$30k car.
 - a. PP&E: Up \$30k
 - b. Cash: Down \$30k
2. Two effects, every time. Hence, the equation only stays balanced because BOTH sides are recorded
3. Debit and Credit
 - a. They don't mean good or bad/increase or decrease.
 - b. They are positions: Left and Right
 - i. Where value went to
 - ii. Where value came from

How Transactions are Written

1. Buy a \$30k car for cash
 - a. Dr PP&E (Vehicle), 30k
 - b. Cr Cash, 30k
2. Customer pays \$15k upfront: \$3k installation done today + \$12k for 12 months
 - a. Dr Cash, 15k
 - b. Cr Revenue (Installation), 3k
 - c. Cr Deferred Revenue, 12k
3. One month later: 1/12 of the \$12k service is delivered, so \$1k is now earned
 - a. Dr Revenue, 1k
 - b. Cr Revenue, 1k

Why Debits Always Equal Credits

1. Debits = Credits is the accounting equation (Like a *logging* system)
 - a. Every entry that balances keep A = L + E balanced automatically.
 - b. Check the \$15k entry
 - i. Assets: \$15k
 - ii. Liabilities: \$12k
 - iii. Equity: \$3k

Which Side Increases Which Account

1. Memory Aid:
 - a. DEALER: Debits increase Dividends, Expenses and Assets. Credits the rest.
2. Dividends
 - a. Increases Debit
 - b. Decrease Credit
3. Expenses
 - a. Increases Debit
 - b. Decrease Credit

Topic 4

Profit But No Cash

1. You run a young company and this quarter; you made a sale worth \$10k but the customer hasn't paid yet. You paid \$30k for inventory and \$40k in salaries.

Depreciation for the quarter is \$10k.

- a. Profit **(\$20k)**

- i. Revenue: \$100k
- ii. Expense: -\$30k
- iii. Expense: -\$40k
- iv. Depreciation: -\$10k

- b. Cash **(\$-70k)**

- i. Revenue: \$0
- ii. Expense: -\$30k
- iii. Expense: -\$40k
- iv. Depreciation: \$0

2. Takeaway:

- a. On paper the company is making profit, but it has negative cash and would require taking loans if they want to survive.

3. Depreciation IS NOT cash

- a. Laptop: \$5k for 5 years.
- b. Depreciation: \$1k per year.
- c. Every year, profit reduces but not a single ringgit leaves your account except for when you bought the laptop.

Reasons Profit and Cash are Separate

1. Non-Cash Expense

- a. Depreciation and similar items reduce profit, but money doesn't leave the account.

2. Sales Not Yet Collected

- a. Revenue is earned on delivery, but the cash arrives later.

3. Costs Paid at Different Times

- a. Inventory and bills can be paid before or after they hit the income statement.

4. It's All The Accrual Principle

- a. Accounting records activity, the bank records movement. Timing separates them.

Categories of Cash Flow

1. Operating

- a. Cash from core business operations.

- i. Collections from customers, payments to suppliers and employees
- ii. Includes adjustments for non-cash items like depreciation

2. Investing

- a. Cash related to purchase or sale of long-term assets.

- i. Buying or selling equipment and buildings.
- ii. Deploying cash for future growth.

3. Financing

- a. Cash flows from raising or repaying capital.

- i. Borrowing and repaying loans.
- ii. Shows how the business is funded externally.

Cash Flow Statement Layout

1. Cash Flow from **OPERATING**

2. + Cash Flow from **INVESTING**

3. + Cash Flow from **FINANCING**

4. = **NET CHANGE IN CASH THIS YEAR**

5. + Cash at the beginning of the year

6. = **CASH AT THE END OF THE YEAR**

Interpreting The Signs of The Three Sections

1. Strong Mature Company

- a. +--
- b. Operations fund everything.

2. Young or Growing Company

- a. --+
- b. Operations burn cash, investment is heavy, but funders fill the gap.

3. A Company in Trouble

- a. -+-
- b. Operations burn cash, assets are being sold but debts repaid under pressure.

How The Statements Connect

INCOME STATEMENT	CASH FLOW STATEMENT	BALANCE SHEET
Revenue less expenses less tax NET INCOME 120,067	1 Net income 120,067 Non-cash adjustments Deferred income taxes (1,424) Accounts receivable (15,399) Inventories (11,324) Other changes = Operating cash flow 102,718 Investing [-52,228] + financing [-48,474] = Increase in cash 2,016	2 Cash 8,589 → 10,605 3 Receivables 23,065 → 38,466 Inventories 10,080 → 21,403 4 Retained earnings 68,038 → 146,973

Deriving Operating Cash Flow from Net Profit

1. Start with **NET PROFIT**
 - a. From the income statement
2. + Add back **non-cash expenses**
3. +- Adjust for **working capital changes**
4. +- Remove **non-operating, non-cash items**
5. = **OPERATING CASH FLOW**

Ways to Present Operating Cash Flow

1. Direct Method

- a. List the actual cash movements, line by line.
 - i. Cash collected
 - ii. Cash paid
- b. Intuitive to read BUT requires tracking every cash flow separately.

2. Indirect Method

- a. Start from Net Income and adjust it into cash

Working Capital Adjustments

1. Accounts Receivable UP (**OUT**)

- a. Customers owe you more
- b. Sales happened
- c. Cash did not arrive

2. Inventory UP (**OUT**)

- a. You bought or made more goods than sold

3. Accounts Payable UP (**IN**)

- a. You have not paid your suppliers.
- b. You are holding their cash.

4. Memory Trick

- a. When an **asset** grows, it ate your cash
- b. When a **liability** grows, someone else is still holding the bill

Example

US\$ millions	RM	
Net profit	50,000	
Add: depreciation	+10,000	
Add: amortization of software licenses	+5,000	
Add: stock-based compensation	+8,000	
Less: accounts receivable increased	(12,000)	
Less: inventory increased	(7,000)	
Add: accounts payable increased	+6,000	
OPERATING CASH FLOW	60,000	

1. Profit says 50k but the business product 60k cash. How?

a. Never Leaves Account

- i. Depreciation
- ii. Amortization
- iii. Stock Compensation

b. Assets Grow

- i. Accounts Receivable
- ii. Inventory

c. Liability Grow

- i. Accounts Payable

Balance Sheet Questions

1. Can it pay this year's bill?
 - a. **Current Assets vs Current Liability (Net WC)**
2. Debt-Funded or Owner-Funded?
 - a. **Total Liability / Total Assets**
3. Is cash tied up in working capital?
 - a. **Receivables Growth vs Sales Growth**
4. What moved most since last year?
 - a. **Inventory Growth vs Sales Growth**

Income Statement Questions

1. Did it make money, and how much?
 - a. **Gross, Operating, Net Margins**
2. Which costs eat the margin?
 - a. **Revenue Growth vs Expense Growth**
3. How much of this profit repeats?
 - a. **One-offs sitting in other income**
4. Is profit growing with revenue?
 - a. **Operating profit / interest**

Cash Flow Statement Questions

CHECK	THE EQUATION	NVIDIA FY2026, US\$m	WHAT IT SAYS
Current ratio	Current assets ÷ current liabilities	125,605 ÷ 32,163 = 3.9x	Nearly 4x cover on what falls due
Total Debt Ratio	Total liabilities ÷ total assets	49,510 ÷ 206,803 = 24%	Under a quarter owed to outsiders
Receivables check	Receivables growth vs sales growth	+67% vs +65%	In line, so growth not collections
Gross margin	Gross profit ÷ revenue	153,463 ÷ 215,938 = 71%	71 cents left after making it
Net margin	Net income ÷ revenue	120,067 ÷ 215,938 = 56%	56 cents reach the owners
Interest cover	Operating profit ÷ interest expense	130,387 ÷ 259 = 503x	Debt is trivially serviceable
Cash flow coverage ratio (Earnings Quality)	Operating cash ÷ net income	102,718 ÷ 120,067 = 0.86	86 cents of cash per dollar of profit
The sign pattern	Operating, investing, financing	+ - -	Operations fund growth and returns
Free cash flow	Operating cash less capital spend	102,718 - 6,000 = 97bn	97bn in cash surplus that is free to use for investments, etc

Taxes Have the Same Gap

1. Book Income
 - a. For Investors
 - b. Tax expense on the income statement follows this income
2. Deferred Tax Liability
 - a. Told shareholders more profit than the taxman (For now)

- b. Extra tax arrives later
3. Deferred Tax Asset
 - a. Paid tax ahead of book profit
 - b. Future tax saving
 4. THE TAX NOTE WILL ALWAYS EXPLAIN WHY ITS DEFERRED

Demo: Deferred Tax Liability

1. A company buys a \$100k machine. The books depreciate it over 2 years; the tax rules allow the full cost in year 1. Tax rate 24%.
 - a. Depreciation in books
 - i. Year 1: 50k
 - ii. Year 2: 50k
 - b. Depreciation for tax
 - i. Year 1: 100k
 - ii. Year 2: 0
 - c. Taxable Income vs Book Income
 - i. Year 1: Lower by 50k
 - ii. Year 2: Higher by 50k
 - d. Cash Tax vs Tax Expense
 - i. Year 1: 12k less cash
 - ii. Year 2: 12k more cash
 - e. Deferred Tax Liability
 - i. Year 1: 12k appears
 - ii. Year 2: falls back to 0

Demo: Deferred Tax Asset

1. A gym collects \$120k of two-year membership fees upfront. The books earn it over 2 years; the tax rules tax the cash when it arrives. Tax rate 24%.
 - a. Revenue In the Books
 - i. Year 1: 60k
 - ii. Year 2: 60k
 - b. Revenue for Tax
 - i. Year 1: 120k
 - ii. Year 2: 0
 - c. Taxable Income vs Book Income
 - i. Year 1: Higher by 60k
 - ii. Year 2: Lower by 60k

- d. Cash Tax vs Tax Expense
 - i. Year 1: 14.4k more cash
 - ii. Year 2: 14.4k less cash
- e. Deferred Tax Asset
 - i. Year 1: 14.4k appears
 - ii. Year 2: falls back to 0

What to take away (Deferred Taxes)

1. Expense is not the cheque
 - a. The tax expense on the income statement is not what the company paid. The difference is timing, not tax avoidance.
2. Two items, perfect mirrors
 - a. A deferred tax liability is tax postponed. A deferred tax asset is tax prepaid. Both reverse as the timing difference unwinds.
3. Where you will meet them
 - a. One line on the cash flow statement, deferred income taxes and two lines on the balance sheet. Recognising them is enough.
4. Two questions to ask
 - a. Why is the effective tax rate different from the statutory rate?
 - b. Will there be enough future profit to use a large, deferred tax asset?